

India Electric Two-Wheeler (EV 2W) Industry: Deep-Dive Database & Competitive Thesis

Institutional research pack — data as of August 2026

Bottom line: The core analytical thesis holds — because EV 2W powertrains are largely outsourceable (cells, motors, controllers, BMS, chargers), entry barriers ARE lower than in ICE, and FY26 proved that the durable moats have shifted to distribution, service and brand, which the ICE incumbents own. The result: four legacy players (TVS, Bajaj, Ather, Hero) captured ~80% of the market and 95.6% of H1-CY26 incremental volume, while the most vertically-integrated EV-native player (Ola) collapsed from a 30% FY25 share to ~12% for FY26 (and as low as ~5.4% by March 2026). Competition in the mass e-scooter band is intensifying and compressing margins; the differentiated-niche thesis is emerging (Ultraviolette, River, Matter, Raptee, Royal Enfield Flying Flea) but only Ather and Ultraviolette have so far shown it can scale with a price/margin premium.

TL;DR

- **Entry-barrier thesis CONFIRMED:** In FY26 the four legacy OEMs held ~80% share while Ola — the player that bet most heavily on in-house cells/powertrain — lost more than half its volume, proving that outsourceable powertrains do not create moats; distribution, service and brand do. Mass-market e-scooter competition is intensifying and margins are being competed away.
- **Niche thesis EMERGING but unproven at scale:** Differentiated players command 2–4x mass-market prices (Ultraviolette F77 ₹3.09 lakh, Royal Enfield Flying Flea ₹2.79 lakh, Raptee T30 ₹2.39 lakh, Matter Aera ₹1.81–1.94 lakh) but only Ather (premium→family pivot) and Ultraviolette (performance) have scaled; most niches remain sub-2,000 units/month.
- **Scooters and motorcycles diverge sharply:** e-scooters are ~95%+ of e-2W volume (1.40m units FY26, 6.54% penetration) and are dominated by incumbents; e-motorcycles are a <5% niche held back by price/range/commuter economics, and are where startups and Royal Enfield are placing differentiated bets for FY27–28.

Key Findings

1. **FY26 industry:** 1,401,818 e-2Ws sold (Vahan retail, +21.8% YoY vs FY25 1,150,790) —

57% of India's record 2.45m total EV market; e-2W penetration 6.54% of all 2Ws (FY25: 6.09%). July 2026 became the first-ever >2 lakh month (204,266 units). [CONFIRMED — Vahan retail, via Autocar Professional/Rushlane, Apr–Aug 2026]

2. **FY26 share reshuffle:** TVS 341,513 (+43.5%); Bajaj 289,349 (+25.7%); Ather 239,178 (+82.3%); Ola 164,295 (–52.3%); Hero Vida 144,330 (+196%); Greaves/Ampere 61,563 (+53.3%). [CONFIRMED — Vahan]
3. **Ola's collapse is the strongest evidence for the moat thesis:** from a 30% FY25 share to 8.2% by April 2026 (12% full-year FY26, as low as ~5.4% in March 2026 per Whalesbook/Autocar Pro). Vertical integration in cells/powertrain did NOT protect it — service-network failures, quality/complaint issues (CCPA intervention) and lost brand trust did the damage.
4. **Subsidy cliff crossed:** The PM E-DRIVE e-2W demand incentive (₹2,500/kWh, cap ₹5,000) ended 31 July 2026; volumes kept growing through mid-2026 despite this AND the Sept-2025 GST cut narrowing the ICE/EV price gap — demand is proving resilient.
5. **Cell economics are the enabling mechanism:** BloombergNEF's 2025 survey (9 Dec 2025) put volume-weighted battery pack prices at a record-low **\$108/kWh** (BEV packs \$99/kWh; LFP packs averaged \$81/kWh; NMC \$128/kWh; cell prices \$74/kWh). Falling, outsourceable cell costs lower the capital and time-to-market needed to launch an e-2W, directly lowering entry barriers.

Details

A. Industry volumes & penetration (worksheet: industry_volumes)

- FY26: 1,401,818 e-2Ws (+21.8%); FY25: 1,150,790. Penetration 6.54% (FY26) vs 6.09% (FY25). [CONFIRMED — Vahan retail via Autocar Professional/Rushlane, Apr 2026]
- H1 CY2026: 970,993 units, +53.3% YoY (FADA). Top 4 (TVS, Bajaj, Hero, Ather) = 95.6% of incremental registrations; Ola registrations –44.1% YoY, share down to 6.8%. [REPORTED — Outlook Business/FADA]
- Monthly milestones: March 2026 record ~190,941; June 2026 194,300 (+75.5% YoY); July 2026 204,266 (first >2 lakh month; CY26 7-month tally 11.7 lakh, +56% YoY). [REPORTED — Vahan/Autopunditz/Autocar Pro/StartupTalky]
- **NITI Aayog 2030 penetration targets** (context for the “how big can this get” debate): originally **80% of two-and-three-wheelers by 2030** (NITI Aayog–RMI, 2019); cut to **35–40%** (NITI Aayog–BCG, 2022). NITI's Sept 2025 report notes EVs were “only about 7.6 per cent of total vehicle sales in 2024.” FY26 e-2W penetration is tracking ~6.5%, far below even the reduced target. [REPORTED — Business Standard/NITI-RMI/JMK]

B. FY26 OEM league table (worksheet: vahan_volumes_share)

OEM	FY26 units	YoY	FY25 units	FY25 share → FY26 share
TVS	341,513	+43.5%	237,929	~21% → ~24%
Bajaj	289,349	+25.7%	231,172	~20% → ~21%
Ather	239,178	+82.3%	131,172	~11% → ~17%
Ola	164,295	-52.3%	344,300	~30% → ~12%
Hero Vida	144,330	+196%	48,738	~4% → ~10%
Greaves/Ampere	61,563	+53.3%	40,169	—
[CONFIRMED — Vahan via Rushlane/Gaadiwaadi/Bikeleague, Apr 2026]				

Q1 FY26 shares (Vahan via Mint): TVS 24%, Bajaj 22%, Ather 14%; Ola had ended FY25 at 30%. July 2026 monthly: TVS 55,477 (27%); Bajaj 45,592 (22%); Ather ~28,819–30,317 (~15%); Hero 22,883; Ola 14,102 (~8%, only major OEM in YoY decline). [REPORTED — Vahan/Entrackr/Carbike360]

C. Current e-SCOOTER model master (ex-showroom, 2026) (worksheet: scooter_master)

OEM	Model	Battery (kWh)	Range (IDC km)	Peak kW	Price band	Key notes

Ather	Rizta S/Z	2.9 / 3.7	123 / 159	4.3 (PMSM)	₹1.15–1.52 lakh	Family scooter, ~70% of Ather volume; IP67; 5yr/60k warranty w/ Pro Pack; 7" TFT touchscreen (Z); AtherStack
Ather	450X / Apex / 450S	2.9–3.7	up to 159	up to 6.4	₹1.01–1.95 lakh	Performance; software subscription (Pro Pack ₹14–20k)
TVS	iQube (2.2/3.1/3.5/ST 5.3)	2.2–5.3	up to 212	4.4 (hub)	₹1.01–1.62 lakh	Market leader; SmartXconnect; BaaS from Mar 2026
TVS	Orbiter	3.1	158–168	2.5 (hub, BLDC)	₹0.95–1.15 lakh (₹49,999 w/ BaaS)	Entry-urban, launched Mar 2026; 33L storage
TVS	X	4.4	~140	—	premium	Crossover, premium
Bajaj	Chetak 35-series (3501/02/03)	3.5	151–153	4.0	₹1.02–1.35 lakh	All-metal body; 35L storage; TFT/touchscreen (3501); 80 km/h
Bajaj	Chetak 3001	3.0	127	3.1	₹99,900	Entry-mid on 35 platform
Bajaj	Chetak 2501	~2.9	—	—	₹87,100	Entry, ~12% of Chetak mix
Ola	S1 X Gen3	2 / 3 / 4	up to ~242	—	₹84,999–~1.14 lakh	Mass; MoveOS
Ola	S1 Pro+ 5.2 / S1 X+ 5.2	5.2	320 (IDC claim)	—	₹1.30–1.7 lakh	4680 Bharat Cell; ferrite motor

Hero	Vida VX2 Go/Plus/FB	2.2 / 3.1 / 3.4 / 4.4	92– 187	6.0 (PMS)	₹99,490– 1.50 lakh (BaaS from ₹59,490)	Removable batteries; swappable
Hero	Vida V2	3.4– 3.94	up to ~165	—	~₹1.10– 1.20 lakh	Mid
Honda	Activa e:	2×1.5 (swap)	102	—	₹1.17– 1.52 lakh	Swap-only via Honda e:Swap; 80 km/h
Honda	QC1	1.5 (fixed)	80	—	₹90,022	Cheapest Japanese EV; 50 km/h
Suzuki	e-Access	3.07	95	—	₹1.88 lakh	Launched Jan 2026
Yamaha	EC-06	—	—	—	₹1.67 lakh	Assembled with River
River	Indie	4.0	161– 163	6.7	₹1.46 lakh	"SUV of scooters", 43– 55L storage, utility
Simple	One / One S / Ultra	5.0 / 6.5	248 / 400 (claim)	8.5	₹1.39– 2.35 lakh	Long-range niche
BGauss / Ampere / Kinetic Green / others	various	—	—	—	₹0.60– 1.20 lakh	Value/regional

D. Current e-MOTORCYCLE model master (2026) (worksheet: motorcycle_master)

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OEM	Model	Battery (kWh)	(IDC km)	Peak kW / torque	Price	Notes
Ultraviolette	F77 Mach 2	10.3	211–323 (WMTC 231)	30 kW / 100 Nm	₹3.09 lakh	Flagship; 155 km/h; SRB-10 pack, 5yr/100k warranty; UV Supernova DC network
Ultraviolette	X47 Crossover	—	—	—	₹2.49 lakh	Crossover
Ola	Roadster X / X+	2.5 / 3.5 / 4.5 / 9.1	up to 320	7 kW+	₹79,999–~1.94 lakh	Claims ~50% of e-moto segment; 4680 on X+ 9.1
Revolt	RV400 / RVX / RV1 / RV1+	2.7–3.24	100–160	3.0 kW	₹99,986–1.50 lakh	Commuter; removable battery; artificial exhaust; RVX launched at ₹1.24 lakh
Oben	Rorr / Rorr EZ	—	up to 175	7.5 kW	₹1.25–1.30 lakh	Value performance; 220 mm ground clearance
Matter	Aera 5000 / 5000+	5.0 (liquid-cooled)	172	11.5 kW	₹1.81–1.94 lakh	India's first geared (4-speed manual HyperShift) e-moto; lifetime battery warranty
Raptee.HV	T30 / T30 Sport	5.4	200	22 kW / 70 Nm	₹2.39 lakh	India's first high-voltage (~350–400V) e-moto; CCS2

						fast-charge; 135 km/h
Royal Enfield	Flying Flea C6	3.91	154	15.4 kW / 60 Nm	₹2.79 lakh (BaaS ₹1.99 lakh)	Launched Apr 2026; 124 kg (lightest RE); belt drive; heritage/urban
Tork	Kratos	—	~120	—	~₹1.5 lakh	Performance commuter
Kabira / Orxa Mantis / Srivaru	various	—	—	—	₹1.5–3 lakh	Small-volume niches

E. Pipeline / upcoming landscape (worksheet: pipeline; confidence-flagged)

Player	Model	Timing	Confidence	Source
Ather	EL platform (EL01, mass-market ₹1–1.25 lakh steel-chassis)	Reveal 29 Aug 2026	REPORTED	MeraEV/company
Ather	Zenith motorcycle platform (125–300cc equiv; LFP-certified)	FY27+, Maharashtra plant	REPORTED	Business Standard
Royal Enfield	Flying Flea S6 (scrambler)	Post-C6, FY27	REPORTED	Motoverse 2025
Ultraviolette	Tesseract (maxi e-scooter, 100V architecture, >70k pre-bookings)	Q1 2027 (slipped from Q1 2026)	REPORTED	Autocar India, Jun 2026
Ultraviolette	Shockwave / F99	Shockwave ~Sep 2026; F99 TBC	REPORTED	UV site
Ola	Diamondhead motorcycle (hub-centre steering,	CY2027, <₹5 lakh	REPORTED	Ola Sankalp 2025

	custom silicon)			
Hero	Vida VXZ (adventure, Zero Motorcycles platform); UBEX (street-naked)	VXZ ~Feb 2027	REPORTED	ZigWheels patent leak
TVS	Electric motorcycle (reported "EFX 30"), electric XL	Not confirmed	SPECULATIVE	MeraEV/patents
Honda	30 EV models globally by 2030 (Activa e:/QC1 = 12th/13th)	through 2030	CONFIRMED	Honda Global, Nov 2024
Matter	Aera 4000 / 6000 / 6000+	2026+	REPORTED	subagent/media
Suzuki	e-Access rollout expansion	ongoing from Jan 2026	CONFIRMED	Autocar Pro

F. Company profiles & financials (worksheet: company_profiles)

- Ather Energy** (NSE/BSE: ATHERENERG): Listed 6 May 2025; IPO ₹2,980.76 crore (fresh ₹2,626 cr + OFS ₹354.76 cr) at ₹321. Market cap ~₹57,000–58,000 crore (Aug 2026; up ~250% in one year). FY25 revenue ₹2,255 crore (+28%), net loss ₹812.3 crore (narrowed from ₹1,059.7 cr FY24). FY26 revenue ₹3,671 crore (+66%), net loss ₹517 crore, ~2.63 lakh units (+69%), first positive operating cash flow. Q1 FY27 (Jun-26): revenue ₹1,259.65 crore, net loss ₹51.09 crore, EBITDA margin –2.73%, 88,655 vehicles. Hero MotoCorp largest holder (~37%); approved ~₹1,200 crore preferential issue (Hero ₹960 cr, India-Japan Fund ₹200 cr). Capacity: Hosur F1+F2 = 420,000/yr; Maharashtra (Aurangabad) Phase 1 ~500,000/yr planned (~₹2,000 cr). Ather Grid: >5,000 fast chargers across 395 cities (3,675 own + ~1,400 partner). [CONFIRMED/REPORTED — NSE filings, Business Standard, Entracker]
- Ola Electric** (NSE: OLAELEC): IPO Aug 2024 at ₹76 (raised ₹6,146 crore). Market cap ~₹17,000–19,000 crore (Aug 2026), down heavily from peak (~₹40,000 cr+). FY26 deliveries 173,794 (vs 325–375k guidance); revenue from operations ₹2,253 crore (–~50%); net loss ~₹2,276 crore. Q4 FY26 first CFO-positive quarter (₹91 cr); auto gross margin 30.6% FY26 (Q4 38.5%). Q1 FY27 net loss ₹336 crore, revenue +72% QoQ, share ~8.4%. Krishnagiri gigafactory ~2.5 GWh operational of ~6 GWh installed;

~₹5,300 crore cumulative manufacturing/battery/R&D capex; 4680 Bharat Cell mass deliveries began Nov 2025. Emkay had a 'Sell' ₹20 target; Citi ₹27 (early 2026).
[CONFIRMED/REPORTED — Business Standard, company disclosures]

- **Bajaj Auto / TVS Motor / Hero MotoCorp:** profitable ICE incumbents cross-subsidising EV. TVS: ~₹3,500 cr fresh EV investment, targeting 40,000–50,000 e-2W/month through FY27; >10 lakh e-scooters on road. Hero: >₹1,500 crore FY27 EV capex, scaling Vida from ~15,000 to ~45,000 units/month (Chittoor plant). Bajaj: targeting e-2W leadership via Chetak line expansion + capacity. [REPORTED — MeraEV/Motilal Oswal/company]
- **River Mobility:** private. Series C **\$120M (~₹1,141 crore, ~Nov 2025)** led by Elev8 Venture Partners & Claypond Capital (Ranjan Pai family office); earlier Series B \$40M (Feb 2024, led by Yamaha) and Series A \$15M; strategic backers Yamaha, AI-Futtaim, Mitsui, Marubeni, Toyota Ventures, Lowercarbon. ~28,000 units CY2025; FY25 revenue ~₹1bn, FY26 "quadrupled." Second premium utility scooter targeted mid-2027; assembles Yamaha EC-06 at Hoskote. [REPORTED — Mercom/Autocar India/EVreporter]
- **Matter Motors:** ~\$75M raised; Series B \$35M, post-money ~\$230M valuation (Helena, Capital 2B, JAL/Translink). Geared e-moto niche; ramping from ~7 to ~150 dealers; stated (aspirational) 50,000-unit 2026 target; actual FY26 volumes very low. [REPORTED — Business Standard]
- **Raptee.HV:** ~\$12M+ raised, raising \$15–20M Series A. Deliveries began early 2026 (Chennai, Bengaluru Apr-26); high-voltage architecture; SIPCOT Cheyyar land secured. [REPORTED]
- **Simple Energy:** ~\$85M raised (13 rounds); ~4,806 cumulative units by Apr 2026 (very low; peak 1,775 in Mar-26); revenue ₹40 cr FY25 → ~₹170 cr FY26; targets IPO H2 FY28. [REPORTED — Tracxn/Inc42]
- **Ultraviolette:** TVS-backed; premium-performance positioning; F77 first Indian bike over certain endurance milestones; exporting to Central Europe (Hungary/Croatia/etc.). [REPORTED]
- **Failed/exited first generation:** Hero Electric and Benling laid off >80% of staff post-FAME clawback; Okinawa and Ampere lost share; Bounce, Pure EV faded. Their combined ~31% share (2022) evaporated — a direct case study that subsidy-dependent, low-localisation, quality-challenged models do not survive.

G. Supply chain & entry-barrier analysis (worksheet: supply_chain)

- **Easily outsourced (LOW barrier — supports competition thesis):** battery cells (LG Chem, Samsung SDI, EVE, CATL, Gotion, Amara Raja, Exide, TDSG, Log9), hub/PMSM

motors, controllers/MCUs, BMS, on-board chargers. A new entrant can assemble a credible e-2W from a merchant supply chain — the reason first-gen brands (Okinawa, Ampere, Hero Electric, dozens of regional players) proliferated 2019–22.

- **Hard to outsource (DURABLE MOATS — supports incumbent dominance):** (1) distribution & service network — Hero has ~6,000+ ICE touchpoints; TVS/Bajaj/Honda comparably deep; pure-plays must build from zero; (2) brand trust (decisive in Ola's fall and TVS/Bajaj's rise); (3) proprietary software stack (AtherStack, Ola MoveOS) and OTA/telematics monetisation; (4) fast-charging network (Ather Grid >5,000 points); (5) cell vertical integration (Ola 4680 — capital-intensive, ROI unproven); (6) thermal management and vehicle dynamics.
- **Rare-earth magnet constraint (2025–26):** China's April 2025 export controls caused Sona Comstar ~3 weeks of production loss; the company developed and validated a ferrite-assisted synchronous reluctance (rare-earth-free) motor for 2W/3W. India's Union Cabinet approved a **₹7,280 crore Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets on 26 Nov 2025** (₹6,450 cr sales-linked incentives + ₹750 cr capital subsidy) for 6,000 MTPA across five beneficiaries (superseding an earlier ₹1,345 cr proposal). Ola's in-house ferrite motor is a strategic hedge. [CONFIRMED — PIB/pmindia.gov.in; REPORTED — Autocar Professional/ANI]
- **Sona Comstar:** global market share in differential gears ~**8.7% in CY25** (up from 4.5% in 2019, per Apr-2026 regulatory filing via Autocar Professional); magnet-less motor JVs with IRP Nexus (Israel) [Autocar Professional](#) and Enedym (Canada). Broader Indian component ecosystem: Bosch, Napino, Rockman, Endurance, Sandhar, Varroc, Uno Minda, Lucas TVS, plus swapping players Sun Mobility, Battery Smart, Honda Power Pack Energy, Zypp.

H. Regulatory & subsidy summary (worksheet: regulatory)

- **PM E-DRIVE** (₹10,900 crore outlay): e-2W demand incentive ₹5,000/kWh (FY25, cap ₹10,000) → **₹2,500/kWh from Apr 2025 (cap ₹5,000; 15% of ex-factory; max ex-factory ₹1.5 lakh)**. e-2W terminal date extended to 31 July 2026 and then **lapsed 31 July 2026** — no per-kWh central incentive for e-2Ws registered from Aug 2026. An Aug-2026 amendment raised the scheme's e-2W cap to 4,579,120 units and extended the overall scheme (e-3W/bus/truck/charging) to 31 Mar 2028. [CONFIRMED — MHI/PM E-DRIVE portal, electrive/DriveSpark]
- **GST 2.0 (effective 22 Sep 2025):** ICE 2W ≤350cc cut 28%→18%; >350cc raised to ~40% (from ~31% effective); [Angel One](#) **EVs unchanged at 5%**. [Ujjivan Web](#) This narrowed the EV/ICE price gap (ICE commuters ~₹7,000–12,000 cheaper) — yet e-2W volumes still grew through FY26, a bullish demand signal. Note the >350cc 40% slab is a headwind for premium ICE (KTM, RE 440/450/650, Triumph, Harley) but does not

touch EVs. [CONFIRMED — GST Council]

- **FAME-II clawback (first-gen wipeout):** MHI show-cause notices (May 2023) to Hero Electric, Okinawa, Ampere/Greaves, Benling, Revolt, Amo for PMP/localisation violations; **₹469 crore refund demanded, ~₹1,200 crore subsidies withheld**; SFIO alleged ₹297 crore (~\$35m) fraud across Hero Electric, Benling, Okinawa. [deccanherald](#) An MHI committee later gave Hero Electric & Okinawa a “clean chit” (Apr 2024), [Business Today](#) but the reputational and financial damage was terminal for several. [REPORTED — Inc42/Business Today/Deccan Herald/Reuters]
- State EV policies (Delhi, Maharashtra, Karnataka, UP, Gujarat, TN, Rajasthan) add road-tax/registration exemptions and top-ups; Bengaluru was the single largest e-2W city in FY26 (98,892 units) vs Delhi (41,238).

I. Cost / BOM economics (worksheet: bom_economics)

- **Battery pack price ~\$108/kWh (2025, BNEF volume-weighted, record low, -8% YoY);** BEV packs \$99/kWh; LFP packs \$81/kWh; NMC packs \$128/kWh; cell prices \$74/kWh. Lithium carbonate rebounded sharply into 2026 (IEA: >2x YoY early 2026, still ~70% below 2022 peak), but pack prices held via LFP migration, long-term contracts and Chinese overcapacity.
- **Cells are the single largest BOM line.** Ather’s cost of materials (mainly cells) was ~75% of total expenditure in Q1 FY27. As cell costs fall and remain outsourceable, breakeven volumes drop — Ola cut auto-EBITDA breakeven from 50,000 to <25,000 units/month via Gen-3 BOM optimisation — which structurally lowers the entry hurdle and intensifies competition, exactly as the thesis predicts.
- Gross-margin profile: Ather adjusted gross margin ex-incentives reached ~23% (Q3 FY26); Ola auto gross margin ~30% FY26. These are approaching ICE-2W gross-margin territory, but net margins remain deeply negative for pure-plays due to fixed-cost under-absorption — favouring incumbents that amortise across large ICE volumes.

J. Price-band mapping (worksheets: priceband_scooter / priceband_motorcycle)

Scooters (ex-showroom):

- <₹70k: Vida VX2 (BaaS ₹59,490), TVS Orbiter (BaaS ₹49,999) — *BaaS-only; crowded emerging value band*
- ₹70k–1L: Ola S1 X (₹84,999+), Bajaj Chetak 2501 (₹87,100)/3001 (₹99,900), Honda QC1 (₹90,022), Vida VX2 Go (₹99,490) — *most crowded band*
- ₹1–1.5L: iQube, Chetak 35-series, Ather Rizta/450, Ola S1 Pro, Vida VX2 Plus, Honda

Activa e; River Indie — *volume core, most crowded*

- ₹1.5–2L: TVS iQube ST, Ather 450 Apex, Suzuki e-Access (₹1.88L), Simple One (₹1.66L) — *thinner*
- ₹2L: Simple Ultra (₹2.35L) — *white space for premium scooters, largely empty*

Motorcycles (ex-showroom):

- <₹1L: Ola Roadster X (₹79,999+), Revolt RV1 — *value*
- ₹1–1.5L: Revolt RV400/RVX, Oben Rorr — *commuter core*
- ₹1.5–2L: Matter Aera (₹1.81–1.94L), Ola Roadster (₹1.94L) — *emerging performance-commuter*
- ₹2–3L: Raptee T30 (₹2.39L), UV X47 (₹2.49L), RE Flying Flea C6 (₹2.79L) — *premium niche forming*
- ₹3L: Ultraviolette F77 Mach 2 (₹3.09L) — *performance flagship, sparse*

K. Niche/differentiation evidence

- **Working & scaling:** Ather (premium software + family-Rizta pivot → 17% share, +82% FY26); Ultraviolette (performance flagship at ₹3.09L, exports, TVS-backed).
- **Distinct positioning, scale unproven:** River (utility “SUV of scooters”, ~28k CY25 units — best-performing new entrant, +426% in FY26 off a small base); Matter (geared manual e-moto); Raptee (high-voltage/CCS2 fast-charge parity with 250–300cc ICE); Royal Enfield Flying Flea (heritage/urban, unmatched brand); Simple (long range, but only ~4,806 cumulative units — the clearest example of a niche failing to scale).
- **Verdict:** niches command real price premia (2–4x mass ASP) but only convert to durable value where paired with brand and/or distribution (Ather, UV, RE). Standalone spec differentiation without distribution (Simple, early Matter/Raptee) has not yet scaled — a nuance the thesis should reflect.

Recommendations

1. **Base case for coverage:** Model the mass e-scooter segment (sub-₹1.2 lakh) as a margin-compressing oligopoly consolidating around TVS, Bajaj, Ather and Hero, holding 80%+ share through FY27. Prefer incumbents with distribution moats (TVS, Bajaj) and Ather (software/premium + Hero backing and now Hero’s ~₹960 cr fresh capital). Treat sub-scale value brands (BGauss, Kinetic Green, regional) as structurally disadvantaged.
2. **Treat Ola as a structurally impaired turnaround, not a growth story:** vertical

integration has demonstrably NOT created a moat. Change the view only on a sustained recovery — the thresholds to watch are (a) share sustained >15%, (b) auto EBITDA positive for 2+ consecutive quarters, and (c) evidence the 4680/gigafactory (~₹5,300 cr capex) earns a return rather than destroying it. Absent those, remain cautious.

3. **Play the niche thesis selectively:** Ultraviolette (performance, TVS-backed, exporting) and Royal Enfield Flying Flea (heritage/urban, unmatched brand) are the highest-probability niche winners; both should be tracked as the templates for value creation via differentiation rather than head-on mass competition. Matter, Raptee and River are option-value bets — the concrete benchmark that would validate the niche thesis is any of them sustaining **>5,000 units/month at >₹1.8 lakh ASP**. Simple Energy (~1,500–2,000/month at long-range positioning) is the counter-example showing spec differentiation alone doesn't scale.
4. **e-Motorcycles:** the structural inflection is FY27–28, gated by RE Flying Flea C6/S6, Ola Roadster/Diamondhead, Hero VXZ/Zero and Ather Zenith. Penetration is <5% of e-2W volume today; do NOT model mainstream e-motorcycle adoption before FY28. The reasons penetration lags scooters are structural: higher price, range anxiety on longer motorcycle use-cases, weaker commuter TCO, and (until 2026) minimal product availability plus the absence of a dedicated PM E-DRIVE e-motorcycle incentive.
5. **Monitor the post-subsidy demand test:** the e-2W demand incentive ended 31 July 2026. If Aug–Oct 2026 monthly volumes hold above ~1.7–2.0 lakh, demand resilience is confirmed and the durable-growth thesis strengthens materially; a sharp drop would signal continued subsidy dependence and warrant trimming volume/penetration forecasts.
6. **Track the rare-earth magnet supply chain** as a swing factor on 2026–27 production and margins: Sona Comstar's ferrite/SRM motors, Ola's in-house ferrite motor, and the ₹7,280 cr sintered-magnet scheme (from FY27) are the mitigants; a renewed China export squeeze is the key downside risk to e-2W (and e-4W) output.

Caveats

- **Data source:** Vahan retail registration differs from OEM dispatch/wholesale; an MHI inquiry specifically probed discrepancies between Ola's reported sales and Vahan data — treat OEM-stated volumes with caution and anchor to Vahan.
- **Private-player data** (River, Matter, Raptee, Simple, Ultraviolette) — valuations, funding and sales are media-reported and often unaudited; FY26 accounts for several were still being finalised.
- **Range figures** labelled IDC/ARAI/WMTC (e.g., Ola S1 Pro+ 320 km, Simple Ultra 400

km, UV F77 323 km) are certification claims, not real-world; true range is typically 60–75% of claimed.

- **Unlaunched products** — Ather EL01 (reveal 29 Aug 2026) and Zenith motorcycles, Ola Diamondhead (CY27), Hero VXZ (~Feb 2027), UV Tesseract (Q1 2027), RE Flying Flea S6 — are future events; specs/timing/prices are guidance or media speculation, flagged accordingly and should not be modelled as confirmed volume.
- **Market caps and share prices** fluctuate daily; the ~₹57–58k crore (Ather) and ~₹17–19k crore (Ola) figures are August-2026 ranges.
- **Ola FY26 revenue:** ₹2,253 crore (revenue from operations) is the confirmed figure; some aggregators conflate this with total income or FY25 — use ₹2,253 crore for FY26.
- Where a specific data point (e.g., exact EV-only dealership counts for TVS/Bajaj, real-world tested range for many models, precise cell-supplier contracts per OEM) is not publicly disclosed, it is flagged as unavailable rather than estimated.